UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2012/2013

DECEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

MONDAY, 10 DECEMBER 2012 TIME: 2.00PM – 5.00PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1 (a) How is exchange rate forecast using Purchasing Power Parity Theory? **(5 marks)**

(b) Discuss the values of forecasting with the use of PPP to a financial manager. **(5 marks)**

(c) **Supermax Berhad**

On 1 June, Supermax Berhad sold and delivered 10,000 pieces of bicycle tyres to a supermarket in Singapore. On the same day, Supermax also sold 5,000 pieces to a customer in London. The selling price per tyre to Singapore is S$5.00 and to London is S£1.50. Supermax gives a credit term of 90 days to both the buyers, and the payment is payable in the currency of the importers. The CEO of Supermax is worried that S$ and S£ will depreciate in the coming months due to the current recession experienced by these countries. As a financial controller of the company, you are asked to propose ways to protect the firm from any losses due to this exchange rate risk. You have collected the following market information.

Market Information:

Foreign Exchange Rates (on 1 June)

	S$/RM		RM/ S£	
Spot	0.4751	0.4811	6.8120	6.9525
1 month forward	0.4764	0.4825	6.7950	6.9338
2 month forward	0.4777	0.4839	6.7785	6.9156
3 month forward	0.4790	0.4861	6.7595	6.8985

Money Market Rate (% per year)

	Deposit	Borrowing
Malaysia Bank	3	8.5
Singapore Bank	4	9.5
UK Bank	10	15

Futures Market (on 1 June)

	RM/S$	S£ contract not Available
Contract Size	**S$50,000**	
June	2.1018	
July	2.0961	
August	2.0892	
September	2.0828	

On 1 September, futures price is RM2.0765/S$.

Spot Rate (on 1 September)

RM/S$		RM/£	
2.0988	2.1188	6.7650	6.8952

Required:

Prepare a report for the CEO showing him the various ways of hedging the exchange rate risk arising from the credit sales to Singapore and UK.

(i) Forwards Hedge (10 marks)

(ii) Money Market Hedge (10 marks)

(iii) Futures Market Hedge (10 marks)

Show the outcomes of these strategies on 1 September. Determine the most suitable strategy based on hindsight.

(Total: 40 marks)

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1 (a) What are the purposes of bilateral tax treaty signed between two countries? (5 marks)

(b) MesraJaya Berhad plans to acquire a factory in Thailand to be its subsidiary. A fully operational factory in Bangkok asks for a price of Baht 90 million. An additional Baht 10 million would be required for working capital.

Production and sales are expected to be 200,000 units per year and the selling price per unit on the first year is 200 Baht. The total cost of production is 30% of the sales revenues and will increase in line with the inflation in Thailand. However, the selling price is not expected to increase over the company's planning horizon of 4 years due to competition.

The current spot exchange rate is Baht 9.5/RM.

The current inflation rate in Malaysia is 3%, while that in Thailand is 5%. Assume these inflation rates will remain unchanged in the future. The future exchange rates can be determined using the Purchasing Power Parity.

MesraJaya intends to remit all its earnings back to Malaysia every year and this has been approved by the Thailand government. There is no withholding tax on such remittances. The corporate tax rates are 28% and 25% respectively in Malaysia and Thailand. A bilateral tax treaty exists between Malaysia and Thailand. Tax allowable depreciation on the Baht 90 million investment is claimed at the rate of 40% in the first year and 20% thereafter annually until full utilization.

The after tax market value of the factory after four years is expected to be Baht 60 million.

Cost of Capital for MesraJaya

	Risk-Free	**Cost of Debt**	**Beta**	**Equity risk premium**	**% of Debt**
MesraJaya	3%	8%	1.5	7%	50%

MesraJaya requires a foreign investment premium of 3% for investment in Thailand.

Required:

(i) Prepare a report analyzing whether or not MesraJaya should purchase the factory in Bangkok. In your report, you have to forecast the exchange rates for the 4 year horizon and determine the cost of capital of MesraJaya Berhad. Then perform a NPV analysis for the purchase of the factory.

(20 marks)

(ii) What additional information would be able to assist MesraJaya to make the decision?

(5 marks)
(Total: 30 marks)

Q2 (a) Discuss the main determinants of foreign exchange rates in

(i) the fixed exchange rate regime;

(ii) the floating exchange rate regime. (15 marks)

(b) Discuss 3 methods with which companies can forecast exchange rate.

(15 marks)
(Total: 30 marks)

Q3 (a) Discuss **FIVE (5)** main factors that are likely to influence the decision of a firm to undertake foreign direct investment. (15 marks)

(b) Examine **THREE (3)** main risks that will be faced by a businessman in international trade and explain briefly how these risks could be mitigated.

(15 marks)
(Total: 30 marks)